

Public Prosperity: The Kerala PSU Story in Numbers

	2005-06	2006-07	2007-08	2008-09	2009-10 (projection)
Total number of units	42	42	42	42	44
No. of profit making units	12	24	27	28	32
Net profit/loss	(-) Rs 69.49 cr	Rs 91.43 cr	Rs 80.31 cr	Rs 169.45 cr	Rs 212 cr
Value of production	Rs 1,382.92 cr	Rs 1,586.99 cr	Rs 1,560.61 cr	Rs 1,769.96 cr	Rs 2,124 cr
Turnover	Rs 1,522.98 cr	Rs 1,745.75 cr	Rs 1,811.50 cr	Rs 2,105.01 cr	Rs 2,421 cr



The Turnaround Ratnas: Profit and Loss of Some PSUs

	2005-06	2006-07	2007-08	2008-09
Travancore Cements	(-) Rs 3.90 cr	(-) Rs 0.84 cr	Rs 0.34 cr	Rs 1.55 cr
Kerala Ceramics	(-) Rs 0.96 cr	Rs 1.08 cr	Rs 1.81 cr	Rs 1.01 cr
Kerala Small Industries Development Corporation	(-) Rs 1.84 cr	Rs 0.79 cr	Rs 1.80 cr	Rs 2.84 cr
United Electrical Industries	(-) Rs 3.12 cr	Rs 2.37 cr	Rs 1.30 cr	Rs 0.93 cr
Kerala Electronics Development Corporation	(-) Rs 45.71 cr	Rs 14.37 cr	Rs 8.59 cr	Rs 19.68 cr

“ A special selection board appointed the chief executives. No appointment was made on political recommendations. ”

T. BALAKRISHNAN, Principal Secretary, Industries, Kerala

best product,” says managing director, A. Devakinandan. Kerala State Drugs and Pharmaceuticals is another PSU which, with a little help, turned around and has now launched a Rs 33-crore capacity expansion project.

Bringing professionalism into management was another major step.

“For the first time a special selection board was constituted to interview and appoint chief executives. No appointment was made on the basis of political recommendations,” says T. Balakrishnan, principal secretary, industries. Last year, the industries department trebled CEO salaries and perks from about Rs 45,000 to Rs 1.25

lakh per month. “Today we have a flood of applicants, even from the private sector,” beams Kareem, who has insisted on receiving daily functioning reports of all the PSUs under his ministry. “For two years now, every department has to daily present a detailed report of the previous day’s functioning. This has increased efficiency and cut costs substantially,” says C.J. George, executive director, Kerala Minerals and Metals Ltd, which made the highest profits—Rs 71 crore—among the 42 PSUs in 2008-09, up from a paltry Rs 9 crore last year. Wages were revised at all levels and more than 1,100 fresh appointments were made in last three years across PSUs, ending an eight-year-long freeze. In Keltron, the country’s first public sector electronics manufacturer which was in the red for long, wage revision was implemented last year after 16 years. “There was no resistance from workers to any change brought in by the management. Trade unions came forward to work extra time,” said Kareem.

The only sector which has not yet produced any major result is of textiles. “Textiles is not a suitable industry for Kerala. Neither do we have the raw material, cotton, nor do we have a market for it. Also, the sector is in the middle of a crisis all over India,” says an expert.

A noted change has been the unusual collaboration between fierce political rivals, the CPI(M)-led state and the Congress-led Centre. This led to strategic collaborations and equity participation between some state PSUs and Central PSUs. The relationship between Antony and Kareem has been called the AK-EK alliance and is quoted by many as the only way ahead for the state to industrialise. “AK has been exceptionally considerate to Kerala, which had been neglected for long by the Centre for investments,” says Kareem. Antony returns the compliment by calling him a “strategic partner”.

Kerala, it seems, has got it right. But will other states take the cue? ■